



STATE OF THE STATES ADDRESS PRANAB MUKHERJEE

“Inclusive growth must be

I would like to share some of my perceptions on the concept of inclusive growth. If we take a cursory look at the growth scenario, we will find that from 1951 to 1979, the average annual growth rate of GDP was 3.5 per cent. In the 1980s, we improved a little bit and it was around 5 per cent, precisely 5.2 per cent. In the 1990s, we were near 7 per cent annual GDP growth and, thereafter, we had moved to a higher growth trajectory. From 2003-04 to 2007-08 or rather 2004-05 to 2008-09, the average annual GDP growth has been 8.6 per cent. Three consecutive years prior to 2008-09, the GDP growth was 9 per cent.

Now what does this mean to the people? It means more wealth, more employment, more amenities, more education but it does not mean an arrangement, an umbrella which encompasses the entire spectrum of the society. At one point of time, it was thought that if we can have GDP growth and if we can gener-

ate wealth, the impact will trickle down and society as a whole will be benefited by it. But subsequently, that perception was changed by the strategy that the trickle-down theory is not going to be appropriate for a country of this size. And the variety of divergences that are prevailing here would require huge effective intervention from the policymakers as well as the planners.

Nowadays we are talking about inclusive growth—what does it mean? It is not as if that there was anything called exclusive growth so to counterpose that there should be inclusive growth. To be more specific, inclusive growth is a strategy where there will not only be growth but it will be achieved through certain instrumentalities so that the benefits reach the largest section of the society and that the maximum number of people are able to derive benefits from these developmental projects. That is why special emphasis was given to schemes